BEFORE THE NATIONAL COMPANY LAW TRIBUNAL,

SPECIAL BENCH

New Delhi

Company Petition (CAA) No. 373 (PB)/2017

Connected With

Company Application (CAA) No. 87(PB) 2017

In the matter of:

Sections 230 and 232 and other applicable sections and provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016

Judgement Dated:18.09.2018

Coram:

R. VARADHARAJAN

Hon'ble Member (J)

MS. DEEPA KRISHAN

Hon'ble Member (T)

IN THE MATTER OF SCHEME OF AMALGAMATION

AMONGST

Konark Cinema Private Limited

A company incorporated under the Companies Act, 1956

Having Registered Office at:

Unit-4 AC,4th Florr, JW Marriott Hotel

Hospitality District

Aerocity

New Delhi-110035

.....Applicant/Transferor Company 1

AND

2. Naarad Media Private Limited

Having Registered Office at:

8-A, Commissioner Lane, Civil Lines,

New Delhi-110054

..... Applicant/Transferor Company 2

AND

3. Maharaasa Visions Private Limited

Having Registered Office at:

Unit-4 AC, 4th floor, JW Marriott Hotel Hospitality Disrict,

Aerocity

New Delhi-110037

..... Applicant/Transferor Company 3

AND

4. Khajuraho Films Private Limited

Having Registered office at

Unit-4 AC,4th Florr, JW Marriott Hotel

Hospitility District

Aerocity

New Delhi-110037

..... Applicant/Transferee Company

Counsel for the Petitioner: Mr. DB Bhattacharya, Ms. Deeti Ojha, Advocates.

For the Respondent:Mr. Abhas Singh with Mr. Amish Tandon, RD (NR) , Ms. Lakshmi Gurung, St. Counsel, Income Tax Deptt with Mr. Tajat Nagar.

DEEPA KRISHAN MEMBER (TECHNICAL)

ORDER

1. This Joint application has been filed by the Petitioner Companies under Sections 230 and 232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 and the National Company Law Tribunal Rules, 2016, for the purpose of the approval of the Scheme of Amalgamation of the transferor company into the Transferee Company.

2. The "Transferor Company No.1", Konark Cinema Private Limited was incorporated on 05.11.2013 under the provisions of companies Act 1956, having its registered office at Unit-4 AC, 4th Floor, JW Marriot Hotel, Hospitality District, Aerocity, New Delhi- 110037.

3. The "Transferor Company No 2", Naarad Media Private Limited was incorporated on 12.02.2013 under the provisions of companies Act 1956, having its registered office at 8-A, Commissioner Lane, Civil Lines, New Delhi-110054.

5. The "Transferor Company No 3", Maharaasa Visions Private Limited was incorporated on 07.11.2013 under the provisions of companies Act 1956, having its registered office Unit-4 AC, 4th Floor, JW Marriott Hotel, Hospitality District, Aerocity, New Delhi-110037.

6. The "Transferee Company", Khajuraho Films Private Limited was incorporated on 13.11.2013 under the provisions of companies Act, 1956, having its registered office at office at Unit-4 AC, 4th Floor JW Marriott Hotel, Hospitality District, Aerocity, New Delhi-110037.

7. A perusal of the petition discloses that initially the First Motion seeking direction for convening the meeting of Shareholders and Creditors was filed before this Bench vide CA (CAA) No. 89(PB) 2017 and based on such joint application moved under Sections 230-232 of the Companies Act, 2013, the meetings of Equity Shareholders, Secured Creditors and Unsecured Creditors

of both the Petitioner Companies were dispensed with, vide order dated 17.10.2017 passed by this Bench due to their non- availability or their consent affidavit having been placed on record.

8. On 10.11.2017 the Petitioners were directed to carry out publication in the newspapers 'Business Standard' English Delhi edition as well as in "Jansatta" in Vernacular (Hindi, Delhi Edition). In addition to the public notice, notices were directed to be served on to the Regional Director (Northern Region), Registrar of Companies, NCT of Delhi and Haryana, Official Liquidator, the Income Tax Department and to the other relevant sectoral regulators.

9. It is seen from the records that the Petitioners have filed an affidavit dated 30.11.2017 affirming compliance of the order passed by the Tribunal dated10.11.2017. A perusal of the affidavit discloses that the petitioners have affected the newspaper publication as directed in one issue of the 'Business Standard' English edition as well as in "Jansatta" in Vernacular (Hindi, Delhi Edition) on 27.11.2017. Further, the affidavit also discloses that copies of petition have been duly served to the Registrar of Companies, Regional Director, Northern Region and Income Tax Department in compliance of the order and in proof of the same acknowledgement made by the respective offices have also been placed on record.

10.The Regional Director has filed its representation dated 09.02.2018 in which it is submitted that as per the report of Registrar of Companies, there is no prosecution has been filed, inspection or investigation has been conducted in respect of petitioner companies. On a Perusal of the representation made by the Regional Director as also emphasized at the time of oral hearing by the representative of the Regional Director, the observations come to the fore:

"As per the report of Registrar of Companies, the petitioner companies have not filed their statutory financials statement and annual return for the year ending 31.03.2017."

11. In this regard it is pertinent to mention here that the petitioners have filed an affidavit dated 08.05.2018 in which it has been affirmed that all the petitioner companies have already filed their financial statement for the year ending 31.03.2017 as well as 31.03.2018.Therefore the only observation raised by the Regional director has been dealt with.

12. The Official Liquidator has filed its report dated 22.02.2018 wherein no material objection has been raised against the approval of the Scheme. It is submitted in the report that the official liquidator has not received any complaint against the proposed Scheme from any person/party interested in the Scheme in any manner and that the affairs of the transferor company do not appear to have been conducted in a manner prejudicial to the interest of its members or to public interest.

13. It is pertinent to mention here that the Income Tax department has only filed the comment of Assessment officer of all the companies without any comment. It is seen that there is no demand out for Transferor Company No.1 and transferor Company No. 3 while the demand of insignificant amount of Rs.10 is stated to be outstanding for Transferor company no. 2. It is seen that all the companies has no dues for many years and Transferee Company has only rental income. In the view of the above it is seen that there is no specific objection raised by the income tax department against the proposed scheme of amalgamation.

14. In the joint petition it has been affirmed that no proceedings under Section 210 to 227 of the Companies Act, 2013 are pending against the Petitioner Companies.

15. Certificates of respective Statutory auditors of all the petitioner companies have been placed on record to the effect that Accounting Treatment proposed in the Scheme of Amalgamation is in conformity with the Accounting Standard notified by the Central Government as specified under the provisions of Section 133 of the Companies Act, 2013.

16. The share exchange ratio as provided in the Scheme is as under:

i. *1 equity shares of Khajuraho Films Private Limited India of INR 10 each fully paid up for every 1 equity shares of Konark Cinema Private Limited of INR 10 each fully paid up.*

ii. *1 equity shares of Khajuraho Films Private Limited India of INR 10 each fully paid up for every 1 equity shares of Maharaasa Visions Private Limitedof INR 10 each fully paid up.*

iii. *1 equity shares of Khajuraho Films Private Limited India of INR 10 each fully paid up for every 1 equity shares of Naarad Media Private Limitedof INR 10 each fully paid up.*

The valuation report/share exchange ratio report prepared by Praveen Kumar Verma, Chartered Accountant has been placed on record.

17. It has been affirmed that Scheme is in interest of the transferor company and the transferee company, their shareholders, creditors, employees and all concerned.

18. In view of the foregoing, upon considering the approval accorded by the members and creditors of the Petitioner companies to the proposed Scheme, and the affidavits filed by the Regional Director, Northern Region, Ministry of Corporate Affairs, the report of official liquidator and Department of Income Tax, there appears to be no impediment in sanctioning the present Scheme. Consequently, sanction is hereby granted to the Scheme under Section 230 & 232 of the Companies Act, 2013. The Petitioners shall however remain bound to comply with the statutory requirements in accordance with law.

19. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this court to the scheme will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners.

20. While approving the Scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

21. THIS TRIBUNAL DO FURTHER ORDER

1. That all the Transferor Companies stands dissolved without following the process of winding-up; and

2. That all the property, rights and powers of all the transferor companies, be transferred without further act or deed, to the transferee company and accordingly the same shall pursuant to Section 232 of the Act, be transferred to and vest in the transferee company for all the estate and interests of the transferor company therein but subject nevertheless to all charges now affecting the same; and

3. That all the liabilities and duties of all the transferor companies, be transferred without further act or deed, to the transferee company and accordingly the same shall, pursuant to Section 232 of the Act, be transferred to and become the liabilities and duties of the transferee company; and

4. That all proceedings now pending by or against all the transferor companies, be continued by or against the transferee company; and

5. That all the employees of all the transferor companies in service, if any, on the date immediately preceding the date on which the scheme takes effect, i.e. the effective date shall become the employees of the transferee company on such date without any break or interruption in service and upon terms and condition not less favorable than those subsisting in transferor company on the said date.

6. That Petitioner companies shall within thirty days of the date of the receipt of this order cause a certified copy of this order to be delivered to the Registrar of Company for registration and on such certified copy being so delivered the transferor company shall be dissolved and the Registrar of Company shall place all documents relating to the transferor company registered with him on the file

kept by him in relation to the transferee company and the files relating to both the petitioner companies shall be consolidated accordingly; and

7. That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

The petition stands disposed of in the above terms.

Let copy of the order be served to the parties.

Deepa Krishan

Member (T)

R. Varadharajan

Member (J)